



**UNAUDITED INTERIM FINANCIAL STATEMENTS FOR
THE SIX MONTHS ENDED
30 JUNE 2015**

NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2015

CONTENTS	PAGES
Consolidated income statement	3
Consolidated statement of comprehensive income	4
Consolidated statement of financial position	5
Consolidated statement of changes in equity	6
Consolidated statement of cash flows	7
Notes to the financial statements	8

NIC Bank Limited**Interim Financial Statements for the six months ended 30 June 2015****CONSOLIDATED INCOME STATEMENT**

	Group	
	Jun-15	Jun-14
	Shs'000	Shs'000
Interest Income	7,733,246	6,658,875
Interest Expense	(3,207,144)	(2,881,134)
Net Interest Income	4,526,102	3,777,741
Impairment On Loans And Advances	(573,377)	(198,656)
Net Of Impairment	3,952,725	3,579,085
Fee And Commission Income	921,279	703,562
Fee And Commission Expense	(32,506)	(24,946)
Net Fee And Commission Income	888,773	678,616
Net Trading Income	774,619	666,740
Other Operating Income	298,491	244,784
Net Operating Income	5,914,608	5,169,225
Employee Expenses	(1,458,205)	(1,210,099)
Depreciation And Amortization	(250,148)	(238,311)
Other Operating Expenses	(994,368)	(812,336)
Operating Expenses	(2,702,721)	(2,260,746)
Profit Before Income Tax	3,211,887	2,908,479
Income Tax Expense	(970,910)	(867,043)
Profit After Tax	2,240,977	2,041,436
Profit Attributable To:		
Equity Holders Of The Bank	2,229,383	2,017,278
Non-Controlling Interests	11,594	24,158
	2,240,977	2,041,436

	Group	
	Jun-15	Jun-14
	Shs'000	Shs'000
Other Comprehensive Income:		
Fair Value Loss On Available For Sale Investments Net Of Deferred Tax	(699,167)	(123,522)
Revaluation Surplus On Property, Plant And Equipment	-	-
Exchange Differences On Translation Of Foreign Operation	(110,023)	78,235
Other Comprehensive Income Net Of Tax	(809,190)	(45,287)
Total Comprehensive Income	1,431,787	1,996,149
Total Comprehensive Income Attributable To:		
Equity Holders Of The Bank	1,420,193	1,971,991
Non-Controlling Interests	11,594	24,158
	1,431,787	1,996,149

NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2015
CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	Group	
	Jun-15	Jun-14
	Shs'000	Shs'000
ASSETS		
Cash and balances with Central Bank of Kenya	9,926,354	6,750,509
Items in the course of collection from other banks	544,231	753,555
Deposits and balances due from banking institutions	6,830,608	2,380,867
Government securities	22,265,960	22,668,917
Derivative assets held for risk management	-	129,038
Loans and advances to customers	108,303,620	91,517,322
Other assets	2,119,395	2,240,145
Current income tax recoverable	267,483	217,748
Investments	141,665	233,270
Deferred tax asset	270,056	516,449
Property and equipment	999,794	1,165,000
Intangible assets	1,014,859	1,023,855
Operating lease prepayments	523,062	7,187
Total Assets	153,207,087	129,603,862
LIABILITIES		
Customer deposits	105,149,982	93,481,606
Deposits and balances due to banking institutions	5,006,681	8,531,107
Derivative liabilities held for risk management	303,253	-
Line of credit	15,666,553	6,021,182
Current income tax payable	7,195	4,029
Other liabilities	2,848,181	2,242,815
Unclaimed dividends	82,688	93,983
Deferred tax liability	-	-
Total Liabilities	129,064,533	110,374,722
EQUITY		
Share capital	3,199,728	2,986,413
Share premium	2,731,255	936,576
Revaluation surplus on Property	184,764	189,545
Investments revaluation reserve	(984,450)	(329,716)
Foreign currency translation reserve	(604,172)	(458,183)
Statutory credit reserve	1,092,005	989,313
Other reserve	(157,172)	(154,320)
Proposed Dividends	-	-
Revenue reserves	18,191,428	14,596,325
Total capital and reserves attributable to equity holder of the Bank	23,653,386	18,755,953
Non-Controlling interests	489,168	473,187
Total Equity	24,142,554	19,229,140
Total liabilities and equity	153,207,087	129,603,862

NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2015

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Non - Distributable							Distributable				
	Share Capital Shs '000	Share Premium Shs '000	Revaluation Surplus on Property Shs '000	Fair Value Reserve Shs '000	Traslation Reserve Shs '000	Statutory Reserves Shs '000	Other Reserves Shs '000	Dividends Shs '000	Revenue Reserves Shs '000	Equity attributable to Equity Holders Shs '000	Non- Controlling Interest	Total Shs '000
At 1 January 2014	2,714,921	1,208,068	189,545	(206,194)	(536,418)	975,617	(154,126)	407,238	12,592,743	17,191,394	377,512	17,568,906
Profit for the period	-	-	-	-	-	-	-	-	2,017,278	2,017,278	24,158	2,041,436
Other Comprehensive income for the period	-	-	-	(123,522)	78,235	-	-	-	-	(45,287)	-	(45,287)
Total Comprehensive income for the period	-	-	-	(123,522)	78,235	-	-	-	2,017,278	1,971,991	24,158	1,996,149
Bonus Issue	271,492	(271,492)	-	-	-	-	-	-	-	-	-	-
Transfer of Statutory reserve	-	-	-	-	-	13,696	-	-	(13,696)	-	-	-
Acquisition of interests from Non Controlling interests in NIC Securities	-	-	-	-	-	-	(194)	-	-	(194)	(306)	(500)
Issue of additional shares to Non-controlling interests	-	-	-	-	-	-	-	-	-	-	71,823	71,823
Dividend: Final for 2013 paid	-	-	-	-	-	-	-	(407,238)	-	(407,238)	-	(407,238)
As at 30th June 2014	2,986,413	936,576	189,545	(329,716)	(458,183)	989,313	(154,320)	-	14,596,325	18,755,953	473,187	19,229,140
	-	-	-	(0)	-	-	-	-	-	(0)	-	(0)
At 1 January 2015	3,199,728	2,731,255	184,764	(285,283)	(494,149)	1,041,058	(157,172)	639,946	16,012,992	22,873,139	477,574	23,350,713
Profit for the period	-	-	-	-	-	-	-	-	2,229,383	2,229,383	11,594	2,240,977
Other Comprehensive income for the period	-	-	-	(699,167)	(110,023)	-	-	-	-	(809,190)	-	(809,190)
Total Comprehensive income for the period	-	-	-	(699,167)	(110,023)	-	-	-	2,229,383	1,420,193	11,594	1,431,787
Transfer of Statutory reserve	-	-	-	-	-	46,442	-	-	(46,442)	-	-	-
Prior year adjustment on statutory reserves - TZ	-	-	-	-	-	(18,101)	-	-	18,101	-	-	-
Prior year adjustment on statutory reserves- UG	-	-	-	-	-	22,606	-	-	(22,606)	-	-	-
Dividend: Final for 2014 paid	-	-	-	-	-	-	-	(639,946)	-	(639,946)	-	(639,946)
As at 30th June 2015	3,199,728	2,731,255	184,764	(984,450)	(604,172)	1,092,005	(157,172)	-	18,191,428	23,653,386	489,168	24,142,554

NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2015

CONSOLIDATED STATEMENT OF CASH FLOWS

	FOR THE PERIOD ENDED	
	30-Jun 2015 Audited Shs'000	31-Dec 2014 Audited Shs'000
OPERATING ACTIVITIES		
Cash generated from/ (used in) operations	(226,335)	3,364,099
Income tax paid	(1,014,980)	(2,284,718)
Net cash generated from / (used in) operating activities	(1,241,315)	1,079,381
INVESTING ACTIVITIES		
Effects of shares buyout in NIC Tanzania	-	(16,008)
Investment in NIC Securities	-	(683)
Investment in properties:	-	
•Leasehold land addition	-	(516,000)
•Good Will	-	(34,000)
Purchase of property and equipment	(75,028)	(293,402)
Purchase of intangible assets	(64,979)	(105,329)
Proceeds on sale of equipment	-	1,245
Net cash used in investing activities	(140,007)	(964,177)
FINANCING ACTIVITIES		
Dividends paid	(640,141)	(396,588)
Rights Issue of shares to Non-controlling interests in NIC Tanzania	-	117,888
Rights Issue of shares	-	2,101,154
Bonus and rights issue expenses paid	-	(93,160)
Net cash (used in) / generated from financing activities	(640,141)	1,729,294
NET INCREASE/ (DECREASE) IN CASH AND CASH EQUIVALENTS	(2,021,463)	1,844,498
Foreign currency translation	62,209	122,334
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	9,528,431	7,561,599
CASH AND CASH EQUIVALENTS AT END OF PERIOD	7,569,177	9,528,431

NIC Bank Limited
Interim Financial Statements for the six months ended 30 June 2015

NOTES TO THE FINANCIAL STATEMENTS

1) Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these consolidated interim financial statements are consistent with those used in the Audited Annual Financial Statements for the year ended 31 December 2014 and have been prepared in accordance with International Accounting Standards 34, Interim Financial Reporting. These interim financial statements should be read together with the 2014 Audited Annual Financial Statements.

2) Dividend per share

At the Annual General Meeting held on 20th May 2015, a final dividend in respect of 2014 Financial Year of Shs 1.00 per share (2014 - Shs 0.75 first and final dividend per share) amounting to a total of Shs 639,946,000 (2014 – Shs 407,238,000) was approved by the shareholders and paid.

3) Segmental reporting – Geographical segment

The group operations are within three geographical segments: Kenya, Tanzania and Uganda. The table below contains segmental information provided to the Group Executive Committee of management.

June 2015

	Kenya	Tanzania	Uganda	Total
	Shs `000	Shs `000	Shs `000	Shs `000
Operating income	5,395,507	330,063	189,037	5,914,608
Profit before tax	3,143,169	61,350	7,368	3,211,887
Profit after tax	2,200,218	38,445	2,315	2,240,978
Loans and advances to customers	99,864,667	3,900,357	4,538,596	108,303,620
Customer deposits	97,428,794	4,591,617	3,129,571	105,149,982

June 2014

	Kenya	Tanzania	Uganda	Total
	Shs `000	Shs `000	Shs `000	Shs `000
Operating income	4,635,849	396,186	137,190	5,169,225
Profit before tax	2,786,644	111,801	10,035	2,908,480
Profit after tax	1,950,651	77,855	12,930	2,041,436
Loans and advances to customers	83,958,444	4,681,630	2,877,248	91,517,322
Customer deposits	85,988,836	6,124,178	1,368,592	93,481,606